FY2026 Control Walkthroughs · Draft Findings for the CPA

Control findings for the CPA from walkthroughs and limited testing; no opinion on internal control.

Client	HANGS Construction Services LLC
Period	Fiscal year July 1, 2025 to June 30, 2026
Engagement	SOX-style walkthroughs of eleven key controls for Cinderbrook Bank and the board: purchasing to pay, billing to cash, payroll, the close and system access. Design and implementation, then a few operating instances.
Prepared from	11 files: the approval matrix and process narratives, the user access report, the purchasing, billing and payroll records, the journal entry listing, the bank reconciliations, the trial balance and the walkthrough notes
Prepared by	The F1 Finance Audit Machine, a demonstration. Fixed procedures on invented data; no AI model was used.
Status	Draft. Not reviewed, concluded or signed. Nothing was sent to the client, the bank or the board.

The Yardsticks

Journal entry review threshold, the approval matrix	$25,000.00
Materiality, the year-end audit	$340,000.00

What the Walkthroughs Found

Process	What was found	Amount
Purchasing	The Accounts Payable Specialist set up three vendors without approval and approved her own payments to them (SOD-01, significant deficiency)	$64,675.50
Purchasing	Five sampled payments were approved by the Controller with the invoice signed off	$293,694.30
Billing	Five pay applications approved before they were sent; retainage recomputes; receipts posted on time	$9,308,340.00
Payroll	Payrolls reviewed before release; the Payroll and HR Manager entered her own raise before it was approved (PAY-01, deficiency)	$4,999.93
The close	Thirty manual entries over the threshold were posted by the Controller with no second review (JE-01, significant deficiency)	$8,045,083.44
The close	Twelve reconciliations on time and in balance, none signed as reviewed (REC-01, deficiency); June agrees to the books	$5,361,685.31

Signature: none. These findings give no opinion on internal control. The CPA reviews the workpapers, decides every severity and every open item, and decides what is reported to Cinderbrook Bank and the board.

DRAFT FOR THE CPA

Draft Control Findings

Deficiencies, Proposed Severity and Recommendations

SOD-01 · $64,675.50: Significant deficiency, proposed (P2P-1, P2P-2, ITG-1). Mei Northcott, Accounts Payable Specialist, can set up vendors and approve payments. She set up Marten Lake Aggregates LLC, Rainier Site Supply LLC, Sound Formwork Rentals LLC without approval and approved 4 payments to them herself, $64,675.50, each under her portal limit. The invoices are for job materials and nothing suggests the vendors are not real, but the controls that would stop a fictitious vendor were bypassed. Recommendation: remove her approval permission in the bank portal; have the Controller approve every vendor setup and bank change before payment; review the vendor change report monthly; confirm the three vendors' bank details by calling a number on file; review system access every year.

JE-01 · $8,045,083.44: Significant deficiency, proposed (CLS-1). 30 manual entries over $25,000, $8,045,083.44, were prepared and posted by the Controller with no second review, including accruals, depreciation and the over and under billings. The quarterly review later found September interest was never accrued (INT-01), the kind of error a second review catches. Recommendation: the Chief Financial Officer reviews and initials the Controller's entries over the threshold before posting, turn on the system's approval step, and sign a monthly close checklist. The CPA considers whether this and SOD-01 together are a material weakness.

PAY-01 · $4,999.93: Deficiency, proposed (PAY-1, PAY-2). Renata Salazar, Payroll and HR Manager, can edit the payroll master and process payroll; she entered her own raise, $88,000.00 to $98,000.00, before the form was signed, and $4,999.93 more was paid to June 30 (the payroll audit's RATE-01). The Controller's review sees totals only, and the master file change report is never run. Recommendation: run the change report every payroll and have the Controller review and sign it; the President and CEO signs PAF-25-119 or the pay is corrected.

REC-01: Deficiency, proposed (CLS-2). All 12 operating account reconciliations were prepared on time and reconcile, and June ties to the trial balance, but none is signed as reviewed. The cash audit found the same in the company's June reconciliation. Recommendation: the Controller signs and dates each reconciliation within the 15 days and follows up any item older than 60 days.

What was done

The machine listed the eleven key controls in the client's narratives, walked one transaction through each process to test design and implementation, and tested operating instances: every vendor change, payment, rate change, leaver, manual entry over the threshold and reconciliation, and seeded samples of payments, pay applications, receipts and payrolls. It compared the user access report with the conflicts the policy forbids.

What the CPA decides

Every severity, whether SOD-01 and JE-01 together are a material weakness, management's responses (RESP-01) and what goes to Cinderbrook Bank and the board. The machine gives no opinion on internal control.

DRAFT FOR THE CPA

CONTROL FINDINGS · FOLLOW THE EVIDENCE

Planning · Journal Entry Review Threshold

$25,000.00

Workbook: Planning!B8

Draft figure · the CPA reviews and concludes

Planning!B8 = $25,000.00

='E01 Policies'!B8

E01 Policies!B8 = $25,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Policies/Accounting policies and approval matrix.pdf · PDF page 1; approval matrix for purchasing, billing, payroll, the close and system access

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Original documents are attached to this PDF. The workbook is attached too.

CONTROL FINDINGS · FOLLOW THE EVIDENCE

Planning · Materiality, the Yardstick

$340,000.00

Workbook: Planning!B9

Draft figure · the CPA reviews and concludes

Planning!B9 = $340,000.00

=ROUNDDOWN(B11*B12/10000,0)*10000

Planning!B11 = $68,989,500.00

=-('E10 Income Accounts'!D8+'E10 Income Accounts'!D9)

E10 Income Accounts!D8 = ($68,928,250.00)

E10 Income Accounts!D9 = ($61,250.00)

Planning!B12 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Close/FY2026 trial balance.xlsx · Income Accounts!D8, Income Accounts!D9

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Original documents are attached to this PDF. The workbook is attached too.

CONTROL FINDINGS · FOLLOW THE EVIDENCE

Purchasing · Payments Approved by Their Preparer (SOD-01)

$64,675.50

Workbook: Purchasing!B14

Draft figure · the CPA reviews and concludes

Purchasing!B14 = $64,675.50

=SUM(B8:B11)

Purchasing!B8 = $18,600.00

='E04 Payments'!E26

E04 Payments!E26 = $18,600.00

Purchasing!B9 = $14,275.50

='E04 Payments'!E41

E04 Payments!E41 = $14,275.50

Purchasing!B10 = $21,940.00

='E04 Payments'!E54

E04 Payments!E54 = $21,940.00

Purchasing!B11 = $9,860.00

='E04 Payments'!E59

E04 Payments!E59 = $9,860.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Purchasing/Vendor changes and payments FY2026.xlsx · Payments!E26, Payments!E41, Payments!E54, Payments!E59

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Original documents are attached to this PDF. The workbook is attached too.

CONTROL FINDINGS · FOLLOW THE EVIDENCE

Purchasing · Payments Sampled

$293,694.30

Workbook: Purchasing!B22

Draft figure · the CPA reviews and concludes

Purchasing!B22 = $293,694.30

=SUM(B17:B21)

Purchasing!B17 = $68,885.47

='E04 Payments'!E10

E04 Payments!E10 = $68,885.47

Purchasing!B18 = $27,395.33

='E04 Payments'!E49

E04 Payments!E49 = $27,395.33

Purchasing!B19 = $45,004.42

='E04 Payments'!E15

E04 Payments!E15 = $45,004.42

Purchasing!B20 = $30,439.77

='E04 Payments'!E55

E04 Payments!E55 = $30,439.77

Purchasing!B21 = $121,969.31

='E04 Payments'!E43

E04 Payments!E43 = $121,969.31

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Purchasing/Vendor changes and payments FY2026.xlsx · Payments!E10, Payments!E49, Payments!E15, Payments!E55, Payments!E43

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Original documents are attached to this PDF. The workbook is attached too.

CONTROL FINDINGS · FOLLOW THE EVIDENCE

Billing · Pay Applications Sampled

$9,308,340.00

Workbook: Billing!B13

Draft figure · the CPA reviews and concludes

Billing!B13 = $9,308,340.00

=SUM(B8:B12)

Billing!B8 = $2,231,620.00

='E05 Billing'!E28

E05 Billing!E28 = $2,231,620.00

Billing!B9 = $1,268,447.00

='E05 Billing'!E10

E05 Billing!E10 = $1,268,447.00

Billing!B10 = $2,631,110.00

='E05 Billing'!E29

E05 Billing!E29 = $2,631,110.00

Billing!B11 = $1,276,646.00

='E05 Billing'!E8

E05 Billing!E8 = $1,276,646.00

Billing!B12 = $1,900,517.00

='E05 Billing'!E42

E05 Billing!E42 = $1,900,517.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Billing/Pay applications and receipts FY2026.xlsx · Pay Applications!E28, Pay Applications!E10, Pay Applications!E29, Pay Applications!E8, Pay Applications!E42

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Original documents are attached to this PDF. The workbook is attached too.

CONTROL FINDINGS · FOLLOW THE EVIDENCE

Billing · Receipts Sampled

$8,842,014.80

Workbook: Billing!B21

Draft figure · the CPA reviews and concludes

Billing!B21 = $8,842,014.80

=SUM(B16:B20)

Billing!B16 = $1,227,778.10

='E05 Cash Receipts'!D36

E05 Cash Receipts!D36 = $1,227,778.10

Billing!B17 = $2,315,139.55

='E05 Cash Receipts'!D27

E05 Cash Receipts!D27 = $2,315,139.55

Billing!B18 = $1,662,367.95

='E05 Cash Receipts'!D26

E05 Cash Receipts!D26 = $1,662,367.95

Billing!B19 = $1,298,890.35

='E05 Cash Receipts'!D32

E05 Cash Receipts!D32 = $1,298,890.35

Billing!B20 = $2,337,838.85

='E05 Cash Receipts'!D16

E05 Cash Receipts!D16 = $2,337,838.85

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Billing/Pay applications and receipts FY2026.xlsx · Cash Receipts!D36, Cash Receipts!D27, Cash Receipts!D26, Cash Receipts!D32, Cash Receipts!D16

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Original documents are attached to this PDF. The workbook is attached too.

CONTROL FINDINGS · FOLLOW THE EVIDENCE

Payroll · Payrolls Sampled

$1,403,789.05

Workbook: Payroll!B12

Draft figure · the CPA reviews and concludes

Payroll!B12 = $1,403,789.05

=SUM(B8:B10)

Payroll!B8 = $456,522.27

='E06 Payroll Approvals'!D26

E06 Payroll Approvals!D26 = $456,522.27

Payroll!B9 = $480,163.39

='E06 Payroll Approvals'!D15

E06 Payroll Approvals!D15 = $480,163.39

Payroll!B10 = $467,103.39

='E06 Payroll Approvals'!D10

E06 Payroll Approvals!D10 = $467,103.39

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Payroll/Payroll approvals FY2026.xlsx · Payroll Approvals!D26, Payroll Approvals!D15, Payroll Approvals!D10

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Original documents are attached to this PDF. The workbook is attached too.

CONTROL FINDINGS · FOLLOW THE EVIDENCE

Payroll · Unsigned Raise Paid (PAY-01)

$4,999.93

Workbook: Payroll!B22

Draft figure · the CPA reviews and concludes

Payroll!B22 = $4,999.93

=ROUND(B20*B21,2)

Payroll!B20 = 13

Payroll!B21 = $384.61

=ROUND(C15/26,2)-ROUND(B15/26,2)

Payroll!C15 = $98,000.00

='E07 HR Log'!G9

E07 HR Log!G9 = $98,000.00

Payroll!B15 = $88,000.00

='E07 HR Log'!F9

E07 HR Log!F9 = $88,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Payroll/FY2026 rate changes and terminations.xlsx · Rate Changes!G9, Rate Changes!F9

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Original documents are attached to this PDF. The workbook is attached too.

CONTROL FINDINGS · FOLLOW THE EVIDENCE

Close · Manual Entries Over the Threshold

$9,027,953.60

Workbook: Journal Entries!B8

Draft figure · the CPA reviews and concludes

Journal Entries!B8 = $9,027,953.60

='E08 Journal Entries'!D8+'E08 Journal Entries'!D9+'E08 Journal Entries'!D10+'E08 Journal Entries'!D11+'E08 Journal Entries'!D12+'E08 Journal Entries'!D13+'E08 Journal Entries'!D14+'E08 Journal Entries'!D15+'E08 Journal Entries'!D16+'E08 Journal Entries'!D17+'E08 Journal Entries'!D18+'E08 Journal Entries'!D20+'E08 Journal Entries'!D21+'E08 Journal Entries'!D22+'E08 Journal Entries'!D23+'E08 Journa

E08 Journal Entries!D8 = $274,413.75

E08 Journal Entries!D9 = $37,633.33

E08 Journal Entries!D10 = $166,035.00

E08 Journal Entries!D11 = $29,060.00

E08 Journal Entries!D12 = $69,037.50

E08 Journal Entries!D13 = $37,633.33

E08 Journal Entries!D14 = $179,564.00

E08 Journal Entries!D15 = $32,235.00

E08 Journal Entries!D16 = $69,037.50

E08 Journal Entries!D17 = $37,633.33

E08 Journal Entries!D18 = $321,642.00

E08 Journal Entries!D20 = $69,037.54

E08 Journal Entries!D21 = $928,912.00

E08 Journal Entries!D22 = $37,633.33

E08 Journal Entries!D23 = $164,295.00

E08 Journal Entries!D24 = $25,456.00

E08 Journal Entries!D25 = $69,037.50

E08 Journal Entries!D26 = $37,633.33

E08 Journal Entries!D27 = $316,161.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Close/Journal entry listing FY2026.xlsx · Manual Journal Entries!D8, Manual Journal Entries!D9, Manual Journal Entries!D10, Manual Journal Entries!D11, Manual Journal Entries!D12, Manual Journal Entries!D13

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

CONTROL FINDINGS · FOLLOW THE EVIDENCE

Close · Reviewed Before Posting

$982,870.16

Workbook: Journal Entries!B9

Draft figure · the CPA reviews and concludes

Journal Entries!B9 = $982,870.16

='E08 Journal Entries'!D11+'E08 Journal Entries'!D12+'E08 Journal Entries'!D15+'E08 Journal Entries'!D16+'E08 Journal Entries'!D20+'E08 Journal Entries'!D24+'E08 Journal Entries'!D25+'E08 Journal Entries'!D28+'E08 Journal Entries'!D29+'E08 Journal Entries'!D33+'E08 Journal Entries'!D38+'E08 Journal Entries'!D42+'E08 Journal Entries'!D46+'E08 Journal Entries'!D51+'E08 Journal Entries'!D55+'E08 Jour

E08 Journal Entries!D11 = $29,060.00

E08 Journal Entries!D12 = $69,037.50

E08 Journal Entries!D15 = $32,235.00

E08 Journal Entries!D16 = $69,037.50

E08 Journal Entries!D20 = $69,037.54

E08 Journal Entries!D24 = $25,456.00

E08 Journal Entries!D25 = $69,037.50

E08 Journal Entries!D28 = $37,790.00

E08 Journal Entries!D29 = $69,037.50

E08 Journal Entries!D33 = $69,037.54

E08 Journal Entries!D38 = $69,037.50

E08 Journal Entries!D42 = $69,037.50

E08 Journal Entries!D46 = $69,037.54

E08 Journal Entries!D51 = $69,037.50

E08 Journal Entries!D55 = $69,037.50

E08 Journal Entries!D58 = $29,879.00

E08 Journal Entries!D59 = $69,037.54

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Close/Journal entry listing FY2026.xlsx · Manual Journal Entries!D11, Manual Journal Entries!D12, Manual Journal Entries!D15, Manual Journal Entries!D16, Manual Journal Entries!D20, Manual Journal Entries!D24

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

CONTROL FINDINGS · FOLLOW THE EVIDENCE

Close · Posted Without Review (JE-01)

$8,045,083.44

Workbook: Journal Entries!B10

Draft figure · the CPA reviews and concludes

Journal Entries!B10 = $8,045,083.44

='E08 Journal Entries'!D8+'E08 Journal Entries'!D9+'E08 Journal Entries'!D10+'E08 Journal Entries'!D13+'E08 Journal Entries'!D14+'E08 Journal Entries'!D17+'E08 Journal Entries'!D18+'E08 Journal Entries'!D21+'E08 Journal Entries'!D22+'E08 Journal Entries'!D23+'E08 Journal Entries'!D26+'E08 Journal Entries'!D27+'E08 Journal Entries'!D30+'E08 Journal Entries'!D31+'E08 Journal Entries'!D34+'E08 Journa

E08 Journal Entries!D8 = $274,413.75

E08 Journal Entries!D9 = $37,633.33

E08 Journal Entries!D10 = $166,035.00

E08 Journal Entries!D13 = $37,633.33

E08 Journal Entries!D14 = $179,564.00

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E08 Journal Entries!D22 = $37,633.33

E08 Journal Entries!D23 = $164,295.00

E08 Journal Entries!D26 = $37,633.33

E08 Journal Entries!D27 = $316,161.00

E08 Journal Entries!D30 = $37,633.33

E08 Journal Entries!D31 = $375,701.00

E08 Journal Entries!D34 = $1,119,919.00

E08 Journal Entries!D35 = $37,633.33

E08 Journal Entries!D36 = $265,288.00

E08 Journal Entries!D39 = $37,633.33

E08 Journal Entries!D40 = $248,969.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Close/Journal entry listing FY2026.xlsx · Manual Journal Entries!D8, Manual Journal Entries!D9, Manual Journal Entries!D10, Manual Journal Entries!D13, Manual Journal Entries!D14, Manual Journal Entries!D17

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

CONTROL FINDINGS · FOLLOW THE EVIDENCE

Close · June 30 Balance per Bank

$5,554,191.74

Workbook: Bank Recs!M8

Draft figure · the CPA reviews and concludes

Bank Recs!M8 = $5,554,191.74

='E09 Bank Recs'!M9

E09 Bank Recs!M9 = $5,554,191.74

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Close/Bank reconciliations FY2026.pdf · PDF pages 1-12; the operating account reconciliation for each month end

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

CONTROL FINDINGS · FOLLOW THE EVIDENCE

Close · June 30 Balance per Books (REC-01)

$5,361,685.31

Workbook: Bank Recs!M13

Draft figure · the CPA reviews and concludes

Bank Recs!M13 = $5,361,685.31

='E09 Bank Recs'!M13

E09 Bank Recs!M13 = $5,361,685.31

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Close/Bank reconciliations FY2026.pdf · PDF pages 1-12; the operating account reconciliation for each month end

DRAFT FOR THE CPA

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CONTROL FINDINGS · FOLLOW THE EVIDENCE

Close · Operating Cash, Trial Balance

$5,361,685.31

Workbook: Bank Recs!B16

Draft figure · the CPA reviews and concludes

Bank Recs!B16 = $5,361,685.31

='E10 Trial Balance'!D8

E10 Trial Balance!D8 = $5,361,685.31

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Close/FY2026 trial balance.xlsx · Balance Sheet Accounts!D8

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

CONTROL FINDINGS · FOLLOW THE EVIDENCE

Close · June Reconciliation Less the Trial Balance

$0.00

Workbook: Bank Recs!B17

Draft figure · the CPA reviews and concludes

Bank Recs!B17 = $0.00

=M13-B16

Bank Recs!M13 = $5,361,685.31

='E09 Bank Recs'!M13

E09 Bank Recs!M13 = $5,361,685.31

Bank Recs!B16 = $5,361,685.31

='E10 Trial Balance'!D8

E10 Trial Balance!D8 = $5,361,685.31

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Close/Bank reconciliations FY2026.pdf · PDF pages 1-12; the operating account reconciliation for each month end

06 Close/FY2026 trial balance.xlsx · Balance Sheet Accounts!D8

DRAFT FOR THE CPA

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WHAT STILL NEEDS A PERSON

SOD-01 · $64,675.50: Significant deficiency, proposed (P2P-1, P2P-2, ITG-1). Mei Northcott, Accounts Payable Specialist, can set up vendors and approve payments. She set up Marten Lake Aggregates LLC, Rainier Site Supply LLC, Sound Formwork Rentals LLC without approval and approved 4 payments to them herself, $64,675.50, each under her portal limit. The invoices are for job materials and nothing suggests the vendors are not real, but the controls that would stop a fictitious vendor were bypassed. Recommendation: remove her approval permission in the bank portal; have the Controller approve every vendor setup and bank change before payment; review the vendor change report monthly; confirm the three vendors' bank details by calling a number on file; review system access every year.

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PAY-01 · $4,999.93: Deficiency, proposed (PAY-1, PAY-2). Renata Salazar, Payroll and HR Manager, can edit the payroll master and process payroll; she entered her own raise, $88,000.00 to $98,000.00, before the form was signed, and $4,999.93 more was paid to June 30 (the payroll audit's RATE-01). The Controller's review sees totals only, and the master file change report is never run. Recommendation: run the change report every payroll and have the Controller review and sign it; the President and CEO signs PAF-25-119 or the pay is corrected.

REC-01: Deficiency, proposed (CLS-2). All 12 operating account reconciliations were prepared on time and reconcile, and June ties to the trial balance, but none is signed as reviewed. The cash audit found the same in the company's June reconciliation. Recommendation: the Controller signs and dates each reconciliation within the 15 days and follows up any item older than 60 days.

SCOPE-01: Walkthroughs of eleven key controls with small samples, for the lender and the board. Not an examination of internal control and no opinion on it; controls not listed in the narratives were not tested.

RESP-01: Management's responses to SOD-01, JE-01, PAY-01 and REC-01, with owners and dates, have not been obtained. The CPA requests them before anything goes to Cinderbrook Bank or the board.

SIGN-01: These are draft workpapers and findings for the engagement partner. They give no opinion on internal control. Nothing has been signed, posted or sent to the client, the bank or the board.

These findings are a draft for the engagement partner. They give no opinion on internal control; nothing has been signed or sent.

DRAFT FOR THE CPA